TVS Motor Company Ltd

TVSMOTOR

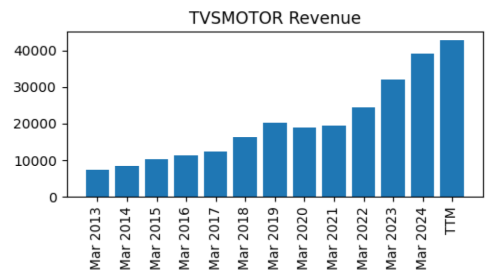
Key Financial Metrics

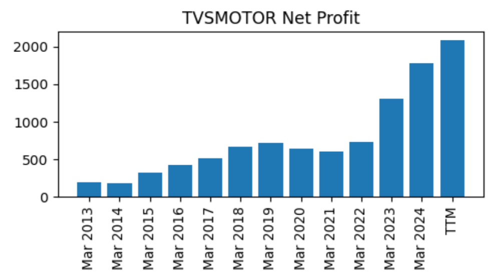
ROE 26.98%	**ROCE** 27.66%	**Debt / Equity** 1.88
Revenue CAGR 16.19%	**FCF Conversion** -70.43%	**Quality Score** 36.00

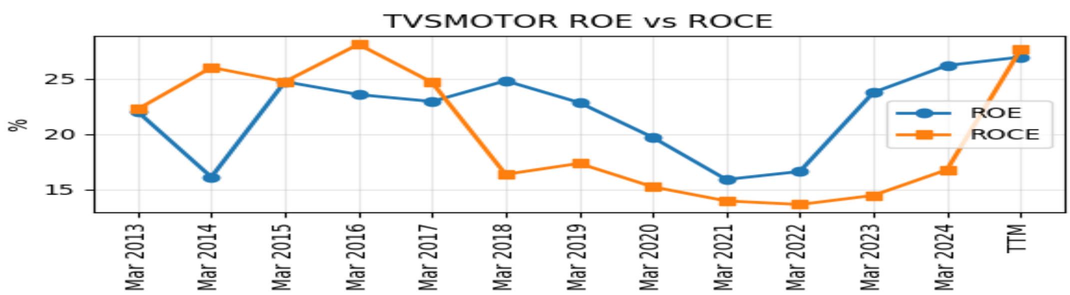
Company Profile

Company	TVS Motor Company Ltd
Sector	Consumer Discretionary
Industry	Two Wheelers
Market Cap (■ Cr)	266,591.41
P/E Ratio	46.10
P/B Ratio	5.62
Dividend Yield	3.07%

Financial Performance







AI Investment Summary

TVS Motor Company Ltd currently faces multiple financial challenges that increase investment risk. It currently has excellent profitability, strong capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 36.0/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.. Key risks include: Two consecutive years of negative free cash flow point to weak cash generation.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Net profit compounding at above 20% over 5 years creates significant shareholder value.	• Two consecutive years of negative free cash flow point to weak cash generation.

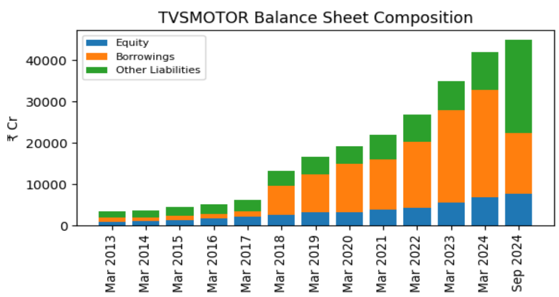
Investment Recommendation

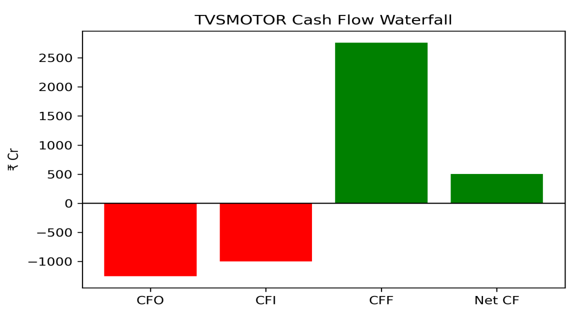
Recommendation	**REDUCE**
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 38.0/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 38.0

Balance Sheet & Cash Flow





Financial Health

Profitability	Strong
Growth	Strong
Cash Flow	Weak
Leverage	Weak
Valuation	Expensive

Capital Allocation

Growth Funded by Debt